(i) Subscription

Not–for–profit organisations usually collect subscriptions periodically from their members. These may be collected monthly, quarterly, half-yearly or yearly. In addition, some special subscriptions, for example, subscription for tennis, billiards, etc., are collected from the concerned members playing tennis or billiards as the case may be. All these subscriptions are revenue receipts.

(ii) Interest on investment

For investments made, the organisation may receive interest. It is a revenue receipt.

(iii) Sale of old sports materials

The sale proceeds of old sports materials like balls, bats, etc. are revenue receipts.

(iv) Sale of old newspapers

The sale proceeds of old newspapers are revenue receipts.

(v) Life membership fee

Amount received towards life membership fee from members is a capital receipt as it is non-recurring in nature.

(vi) Legacy

A gift made to a not–for–profit organisation by a will, is called legacy. It is a capital receipt.

(vii) Admission fee or Entrance fee

It is a fee collected from every member only once at the time of his or her admission into the organisation. It may be treated as a revenue receipt as it is a recurring income from new members admitted every year and may be used to meet the expenses at the time of admission. It may also be treated as a capital receipt.

(viii) Grants from government and other organisations

Not–for–profit organisations may receive different forms of grant from government and other organisations.

Grants received towards construction of buildings, acquisition of assets, etc., are treated as capital receipts as they are non-recurring in nature.

Grants received towards maintenance of assets, payment of salaries, etc., are treated as revenue receipts as they are recurring in nature.

(ix) Donations

These are the amounts received by not–for–profit organisations as a gift. It may be general donation or specific donation.

General donation: If the donation is received without any specific condition, then it is a general donation. It is a revenue receipt.

12th-Accountancy-Unit-02.indd 47 1/4/2020 11:59:47 AM